

IMARTICUS LEARNING

CORPORATE ACTION



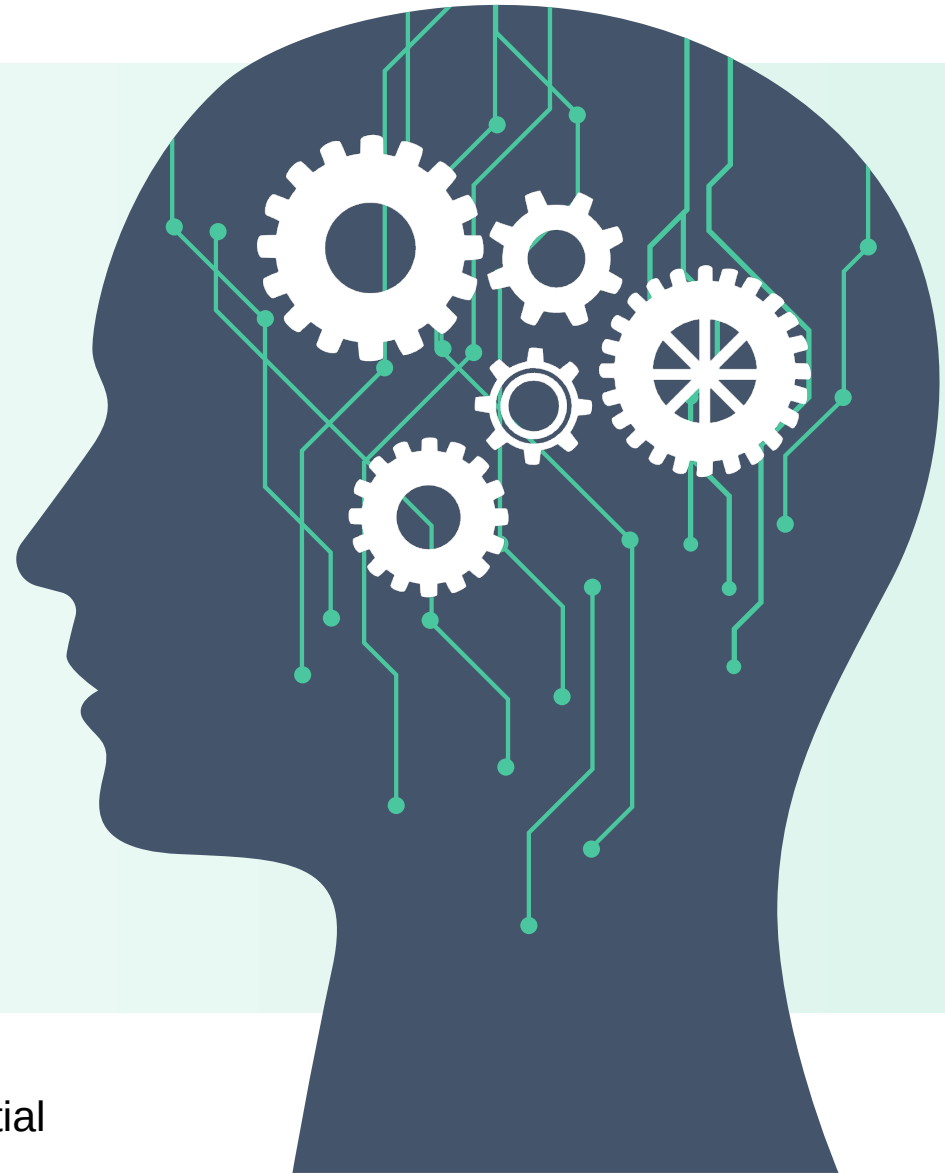
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YOU ARE GOING TO LEARN…

- Corporate Action & its Purpose
- Roles & Responsibilities of Stakeholders in a Corporate Action Event
- Types of Corporate Action
- Important Dates in Corporate Action
- Corporate Action Life Cycle

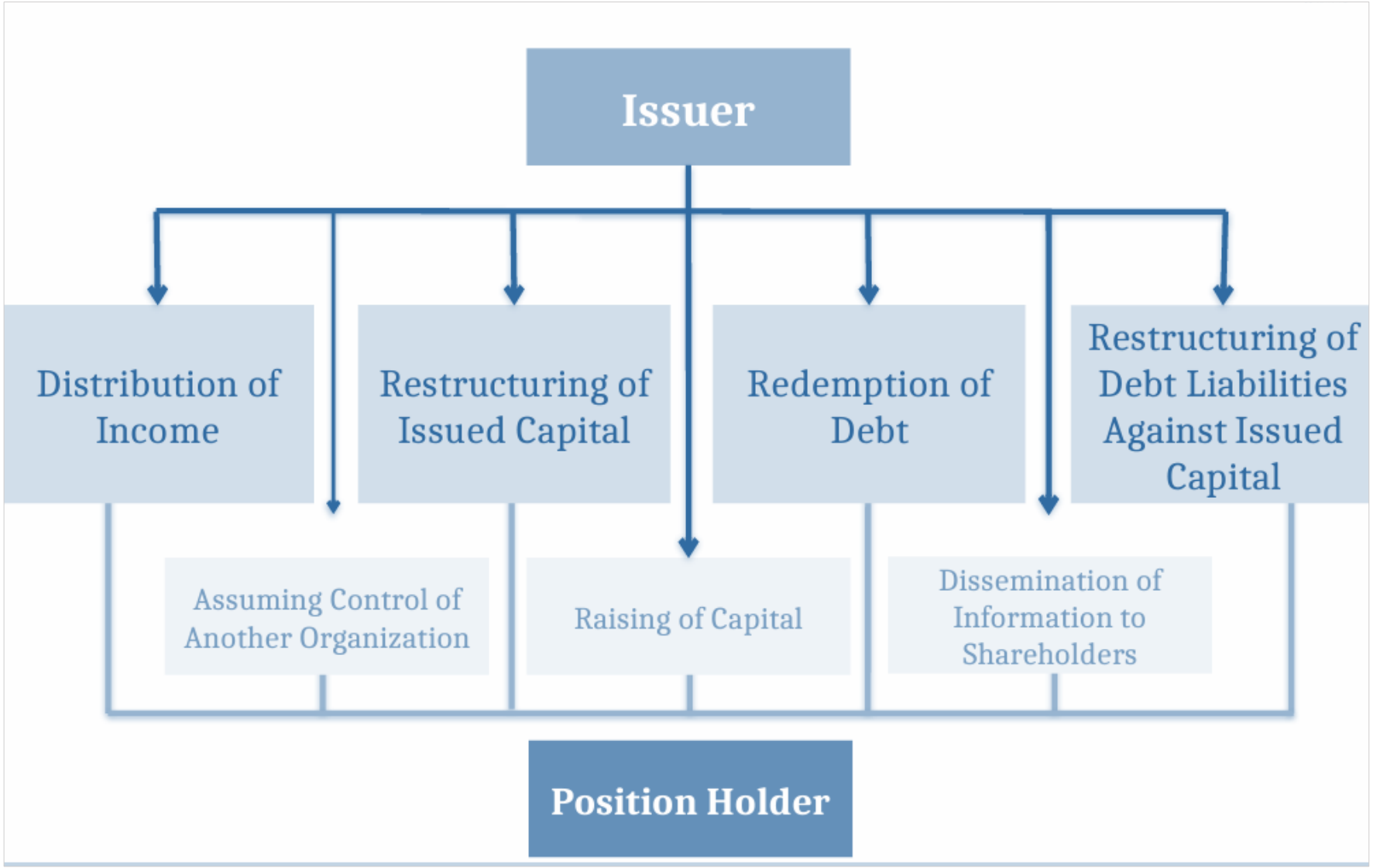


WHAT IS CORPORATE ACTIONS?



- Any event that brings material change to a company and affects its stakeholders
- A corporate action is an event initiated by a public company that affects the securities (Equity or debt) issued by the company.
- Some Corporate Actions have a direct financial impact on the shareholders or bondholders
- Some corporate actions such as name change have no direct financial impact on the shareholders.

PURPOSE OF CORPORATE ACTION



TYPES OF CORPORATE ACTION

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Mandatory	Mandatory with options	Voluntary
Investor has **NO CHOICE** **Obligatory –** mandated by the company **DOES NOT** require any intervention from investors	Investor has an **ELEMENT OF CHOICE** **A DEFAULT OPTION** is given to shareholders if they **choose not to intervene** by a particular date	Investor has a **DEFINITE CHOICE** to make **A DECISION MUST** be made to choose between **OPTIONS** presented to them

ROLES AND RESPONSIBILITIES OF STAKEHOLDERS IN A CORPORATE ACTION EVENT

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- **Issuer or Company:** The issuing company initiates the corporate action event, making decisions on the type and terms of the action. They must communicate these decisions to shareholders and regulatory authorities.

- **Transfer Agent:** Transfer agents are responsible for maintaining the shareholder registry, ensuring accurate record-keeping of shareholders' positions, and facilitating the distribution of corporate action benefits to eligible shareholders.

- **Fund manager:** It is the fund manager, rather than the client, who decides what action to take where the event is voluntary in nature (e.g. where an issuer announces a rights issue).

ROLES AND RESPONSIBILITIES OF STAKEHOLDERS IN A CORPORATE ACTION EVENT

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Global custodian/ Local/sub-custodian:

- The roles and responsibilities mirror those of the global custodian (i.e. information/decisions/results flows), with the difference being that the custodian is located in the market where the issuer's securities are listed. This makes the local/sub-custodian much closer to the market than the global custodian would be.
- It is usual for the local CSD to hold the entire issue of any eligible security on behalf of the beneficial owner. (Remember that there will be a local sub-custodian/global custodian chain or a local custodian as intermediary between the CSD and beneficial owner.) Custodian banks act as intermediaries between the issuer and the shareholders. They manage the logistics of the corporate action, including the collection of entitlements from the issuer and distribution to beneficial owners.

ROLES AND RESPONSIBILITIES OF STAKEHOLDERS IN A CORPORATE ACTION EVENT

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- **Local central securities depository/ International central securities depository:** The ICSDs, Euroclear Bank (EB) and Clearstream Banking Luxembourg (CBL), hold their participants' securities
- **Data vendors:** Data vendors will also be recipients of information broadcast by the issuers. In addition to corporate actions information, the data vendors provide pricing information and information on companies and securities
- **Shareholders or Investors:** Shareholders are directly impacted by the corporate action event. They must make decisions regarding their participation, such as whether to tender their shares, exercise rights, or vote on specific proposals.
- **Regulators and Regulatory Authorities:** Regulatory bodies, such as the SEC in the United States, oversee and approve certain corporate actions to ensure compliance with securities laws and investor protection.

ROLES AND RESPONSIBILITIES OF STAKEHOLDERS IN A CORPORATE ACTION EVENT

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- **Exchanges:** In some cases, stock exchanges may play a role in the corporate action process, especially for actions affecting publicly traded securities. They help ensure that trading and settlement activities run smoothly.

- **Banks and Brokers:** Banks and brokerage firms often assist shareholders in managing their corporate action entitlements, providing information and processing elections on behalf of their clients.

- **Market Data Providers:** These entities supply information related to the corporate action event, including announcements, key dates, and market data that investors and market participants rely on for decision-making.



Mandatory

MANDATORY CORPORATE ACTION

1. Bonus Issue
2. Stock Split
3. Reverse Stock Split
4. Dividend
5. Mergers and Acquisition
6. Spinoffs

BONUS ISSUE

- Bonus share are announced by the issuer, following a decision by the board of directors
- A bonus issue is allotting additional shares to the existing shareholders free of cost at a pre decided ratio.
- No new funds are raised with a bonus issue.
- These are company's accumulated earnings which are not given out in the form of dividends, but are converted into free shares.
- Companies issue bonus shares to encourage retail participation and increase their equity base.

BONUS ISSUE

- To distribute new shares to shareholders following an increase in its capital reserve
- Bonus issues are typically expressed as a ratio of new shares versus existing shares (e.g. if ratio is quoted as 1:2 , it means for every 2 shares shareholder will receive 1 share)
- The shareholder receives additional shares to the original holding, at no cost
- The issuer decides to provide the benefit on each share issued, and is mandatory with no owner option
- Existing shareholdings will need to be increased, at the relevant ratio
- The price per share in the marketplace will be reduced to take account of the increased number of shares in issue

BONUS SHARES - EXAMPLES

Issuer Company	Symbol	Security Code	Bonus Record Date	Ex Date	Bonus Ratio
Search...	Search...	Search...	Search...	Search...	Search...
F Mec International Financial Services Ltd	FMEC	539552	26-May-2026	26-May-2026	1:10
PAE Ltd	PAEL	517230	25-May-2026	25-May-2026	6:1
Dev Labtech Venture Ltd	DEVLAB	543848	15-May-2026	15-May-2026	1:1
Biogen Pharmachem Industries Ltd	BIOGEN	531752	15-May-2026	15-May-2026	1:6
Aptus Pharma Ltd	APPL	544529	12-May-2026	12-May-2026	3:2
Alka India Ltd	ALKA	530889	08-May-2026	08-May-2026	6:1
Vega Jewellers Ltd	VEGA	512026	24-Apr-2026	24-Apr-2026	4:1
Anlon Healthcare Ltd	AHCL	544497	24-Apr-2026	24-Apr-2026	1:1
R M Drip and Sprinklers Systems Ltd	RMDRIP	544456	10-Apr-2026	10-Apr-2026	5:7
Avax Apparels and Ornaments Ltd	AVAX	544337	07-Apr-2026	07-Apr-2026	3:1

EXAMPLE OF BONUS SHARE

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BONUS ISSUE

INFOSYS

- First on our list is the IT giant, Infosys.
- Since 2000, the company has issued bonus shares to its shareholders five times. Barring 2004, where the ratio offered was 3:1, the company has strictly followed a 1:1 bonus share ratio.

BPCL

- The company has rewarded its shareholders with bonus shares four times since
the year 2000.
- While most of the shares offered were in the ratio of 1:1, the company's latest offering in 2017 was 1:2.

STOCK SPLIT

- Stock Split are announced by the issuer, following a decision by the board of directors
- A stock split happens when a company increases the number of its shares to boost the stock's **liquidity.**
- Though there is an increase in the number of shares, the overall **market capitalization** of the company and the value of each shareholder’s stake remain the same.
- By lowering the **face value** of each share at a specified ratio. It means that the number of outstanding shares is increased by dividing the existing shares originally issued to the present shareholders.
- It’s mandatory with no owner option

STOCK SPLIT

- To make its share more widely available by increasing the number of share in issue and impacting the market price
- Stock splits are normally expressed as a ratio of new shares to existing (e.g Announcement of Split of 1:5 means everyone 1 old share becomes 5 new shares)
- A larger pool of potential buyers exists as a result of the split, making the shares easier to sell
- The issuer decides to effect the split to all shares in issue, and is mandatory with no owner's option
- The share price will fall in proportion to the ratio of new versus existing shares

STOCK SPLITS - EXAMPLES

Issuer Company	Symbol	Security Code	Stock Split Date	Ex Date	Price
A-1 Ltd	A1L	542012	31-Dec-2025	31-Dec-2025	Rs 10/- to Rs 1/-
Nuvama Wealth Management Ltd	NUVAMA	543988	26-Dec-2025	26-Dec-2025	Rs 10/- to Rs 2/-
Knowledge Marine & Engineering Works Ltd	KMEW	543273	22-Dec-2025	22-Dec-2025	Rs 10/- to Rs 5/-
Space Incubatrics Technologies Ltd	SPACEINCUBA	541890	19-Dec-2025	19-Dec-2025	Rs 10/- to Rs 1/-
Bharat Rasayan Ltd	BHARATRAS	590021	12-Dec-2025	12-Dec-2025	Rs 10/- to Rs 5/-
Mrs Bectors Food Specialities Ltd	BECTORFOOD	543253	12-Dec-2025	12-Dec-2025	Rs 10/- to Rs 2/-
Computer Age Management Services Ltd	CAMS	543232	05-Dec-2025	05-Dec-2025	Rs 10/- to Rs 2/-
Mini Diamonds India Ltd	MINID	523373	02-Dec-2025	02-Dec-2025	Rs 10/- to Rs 2/-
Unison Metals Ltd	UNISON	538610	28-Nov-2025	28-Nov-2025	Rs 10/- to Rs 1/-
Paras Defence and Space Technologies Ltd	PARAS	543367	04-Jul-2025	04-Jul-2025	Rs 10/- to Rs 5/-

EXAMPLE OF STOCK SPLIT

STOCK SPLIT

IRB INFRA

- The highway infrastructure developer had in January announced to split the equity shares bearing a face value of Rs. 10 each into 10 shares of face value of Re 1

TATA STEEL

- Shares of Tata Steel traded ex-stock split in March. The country's largest steel producer split its shares in 1:10 ratio, slashing down the face value from Rs. 10 to Re 1 each.

REVERSE STOCK SPLIT

- Reverse Stock Split are announced by the issuer, following a decision by the board of directors
- A reverse stock split is when a company reduces the number of outstanding shares by increasing the face value of the share, without diluting the market cap.
- As in a stock split, the value of investment of the shareholder remains unaffected by a reverse stock split.
- If trading price is too low to attract investors to purchase shares, or in an attempt to regain compliance with minimum bid price requirements of an exchange on which its shares trade
- Reverse splits are normally expressed as a ratio of new shares to existing shares (e.g 1:5 reverse stock split means every 5 old shares becomes 1 new shares)

REVERSE STOCK SPLIT

- A reverse stock split may help the company earn investor confidence once again
- The issuer decides to effect the reverse split to all shares in issue, and is mandatory with no owner's option
- The share price will rise in proportion to the ratio of new versus existing shares
- It's mandatory with no owner option

REVERSE STOCKSPLIT - EXAMPLES

Company	Reverse Split Ratio	Date	Reason
Colorchips New Media Ltd.	5:1	June 12, 2024	The split was intended to improve the stock's profile and reduce its classification as a penny stock on the exchanges.
Vertoz Limited	10:1	June 25, 2025	The reverse stock split was done to restructure the company’s equity, similar to its other subsidiaries.
Synthiko Foils Limited	2:1	October 17, 2025	The reverse split was done to boost the share price and improve market perception through the reorganisation of equity.
Caspian Corporate Services Limited	10:1	December 29, 2025	The move was to reverse a previous split and improve the company's overall perception in the market.

EXAMPLE OF REVERSE STOCK SPLIT

REVERSE STOCK SPLIT

GENERAL ELECTRIC (GE)

- GE (NYSE:GE) announced that it will proceed with the 1-for-8 reverse stock split previously approved by GE shareholders at the annual meeting of shareholders on May 4, 2021

INDIAN COMPANIES (2010 – 2011)

- L.G.BALAKRISHNAN & BROS.LTD.
- LS INDUSTRIES LTD.
- ALLIED COMPUTERS INTERNATIONAL (ASIA) LTD.
- INNOVATIVE TECH PACK LTD.

MERGER & ACQUISITIONS

- M&A are announced by the issuer, following a decision by the board of directors
- A merger happens when two firms, often of about the same size, agree to go forward as a single new company rather than remain separately owned and operated.
- Companies may agree for a merger to enter new markets or diversify their offering of products and
- In an *acquisition,* one company (the acquirer) buys another company (the target) and takes control of its assets and operations.
- After the acquisition, the two companies can continue to operate as separate legal entities or the acquiring company could simply absorb the target company.
- Whatever the share exchange ratio (Swap ratio) in a stock-for-stock merger, shareholders of both companies will have a stake in the new one.
- It’s mandatory with no owner option

Example Merger :

HDFC Ltd merged with HDFC Bank (2023)

- Swap Ratio: 42 shares of HDFC Bank for every 25 shares of HDFC Ltd
- HDFC Ltd shareholders received new HDFC Bank shares.
- HDFC Ltd ceased to exist.
- Post-merger, HDFC Bank’s shareholding pattern changed:
- Promoters (HDFC Ltd.'s shareholders) got integrated into HDFC Bank’s cap table.
- Total outstanding shares of HDFC Bank increased.
- Promoter stake diluted marginally.

Example Acquisitions :

Tata Steel's acquisition of Bhushan Steel (2018)

- Tata Steel acquired 72.65% of Bhushan Steel via cash purchase under IBC.
- Bhushan Steel became a subsidiary, later renamed Tata Steel BSL.
- No share swap, only cash consideration, so Tata Steel's shareholding pattern unchanged.

Zomato's acquisition of Blinkit (2022)

- Share swap deal.
- Blinkit shareholders received Zomato shares, leading to dilution of existing Zomato shareholders.

EXAMPLE OF M&A

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M&A

Spectrum of Mergers & Acquisitions Brand Strategy

		LEAD COMPANY		TARGET COMPANY		EXAMPLE		
Strategy	Variation	Name Retained	Visual Retained	Name Retained	Visual Retained	Before (Lead)	Before (Target)	After
Backing the Stronger Brand	Standard	✔	✔	✖	✖	DHL	Airborne Express	DHL
	Reverse	✖	✖	✔	✔	Allied Signal	Honeywell	Honeywell
	Temporary	✔	✔	✔	✖	Medtronic	MIDAS REX	Medtronic MIDAS REX → Medtronic
	Updated	✔	✖	✖	✖	Humana	UnitedHealthcare	HUMANA
Blending the Brands	Combo	✔	✔	✔	✔	EXXON	Mobil	ExxonMobil
	Updated	✔	✖	✔	✖	CONOCO	PHILLIPS 66	ConocoPhillips
	Best of Both	✔	✖	✖	✔	United Airlines	Continental Airlines	UNITED
	Endorse-ment	✔	✖	✔	✔	ThermoFisher SCIENTIFIC	affymetrix	affymetrix
Brand New	New Brand	✖	✖	✖	✖	Bell Atlantic	NYNEX	verizon
Business as Usual	No Change	✔	✔	✔	✔	Campbell's	Plum organics	Campbell's Plum organics

GLOBAL M&A Deals - Examples

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Announced Month & Year	Acquiring Company	Acquired Company	Deal Size (Billion)
May 2026	Shell	ARC Resources	$16.4 billion
May 2026	Apollo	Forvia's Auto Interiors Unit	$2.1 billion
May 2026	Eli Lilly &Co.	Ajax Therapeutics	$2.3billion
May 2026	Sun Pharmaceutical Industries	Organon	$11.75 billion
May 2026	Kone	TKE	$34.4 Billion
May 2026	Bayer	Perfuse Therapeutics	$2.45 billion
May 2026	Roche	PathAI	$1.05 billion
May 2026	Bullish	Equiniti	$4.2 billion
May 2026	Ametek	Indicor instrumentation	$5 billion
May 2026	Vodafone	49% stake in VodafoneThree	$5.8 billion
May 2026	Long Lake	American Express Global Business Travel	$6.3 billion

EXAMPLE OF M&A

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M&A

ULTRATECH / KESORAM

- In the Year - 2025, Ultratech Cement and Kesoram Industries completed a cement sector merger valued at around ₹7,600 crore through a share-swap arrangement. The merger expands Ultratech's manufacturing footprint, adds new cement capacity, and supports economies of scale across logistics, production, and distribution in high-demand regions.

AIR INDIA / VISTARA

- In early 2024, The Tata Group merged Air India and Vistara in a consolidation valued at ₹15,000 crore+, creating a combined fleet of around 300 aircraft. The merger strengthens Tata's position in aviation by forming India's largest full-service international carrier with unified operations and brand integration

SPIN OFFS

- **A Spin-Off** refers to when a parent company sells a specific business unit or division, i.e. a subsidiary, to effectively create a new standalone company.
- As part of the spin-off, the parent company's existing shareholders are given shares in the new independent company.
- Therefore, the number of shares received by an existing shareholder is directly a function of the number of shares the shareholder held in the parent company.
- After completion of the spin-off, it is the decision of the shareholders on whether to continue to hold those new shares or to sell them in the open market.
- It's mandatory with no owner option
- The parent company owns the new business, while the spun-off corporation gets a new name and management and access to the former's products, assets, resources, infrastructure, and intellectual property.

SPINOFF/DEMERGER EXAMPLE - VEDANTA LTD

Vedanta Demerger:	Metals and mining major Vedanta has announced its demerger into five separate publicly listed companies. The Anil Agarwal-led conglomerate will be demerged into - Vedanta Aluminium, Vedanta Oil & Gas, Vedanta Power, Vedanta Iron & Steel, and Vedanta Limited — to unlock value and simplify its corporate structure.
Key Dates:	Vedanta demerger record date is May 1, 2026. The company's board of directors have fixed May 1 as the demerger effective date and the demerger record date for determining the shareholders eligible to receive shares in the newly carved-out businesses. This means April 30 will be the ex-date for Vedanta demerger. In order to be eligible for the demerger benefits, investors must buy Vedanta shares at least 1 trading day before the ex-date (April 30), as India follows T+1 settlement cycle.



SPINOFF/DEMERGER EXAMPLE - VEDANTA LTD

Vedanta Demerger Details

According to the Vedanta demerger scheme, the existing entity will continue to remain listed as Vedanta Ltd, while four business verticals are proposed to be spun off into separate listed entities and Vedanta shareholders will receive equity shares in four demerged businesses in a 1:1 ratio.

- Vedanta Aluminium,
- Vedanta Power,
- Vedanta Oil & Gas, and
- Vedanta Iron & Steel.



SPINOFF/DEMERGER - EXAMPLE - TATA MOTORS LTD

As per Composite Scheme of Arrangement (Demerger) approved by the Hon'ble National Company Law Tribunal, Mumbai Bench, between, TATA MOTORS **LIMITED**.(the Demerged Company) and **TML Commercial Vehicles Ltd** (the Resulting Company) and their Respective Shareholders and Creditors;

The Scheme provides for Demerger of the Commercial Vehicles Business of **TATA MOTORS LTD.** (Demerged Company) in to **TML Commercial Vehicles Ltd**. (the Resulting Company); Upon the Scheme becoming effective and In consideration of the Demerger as stated above, **TML Commercial Vehicles Ltd (TMCVL)**, shall issue and allot Equity Shares to the shareholders of **TATA MOTORS LTD (TML)** in the following proportion:-

- 1 (One) Share of TMCVL of the Face Value of Rs.2/- each fully paid up to be issued and allotted for every 1 (One) Share held of TML of the Face Value of Rs.2/- each fully paid up

SPIN OFFS

Example :

- ITC Ltd spun off its hotel business into ITC Hotels Ltd.
- Ratio: 1 ITC Hotels share for every 10 ITC shares held.
- Shareholders of ITC received new shares in ITC Hotels proportionally.
- ITC Hotels now trades separately on NSE/BSE.

SPIN OFFS EXAMPLE

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SPIN OFFS

TATA CHEM

- In May last year, Tata Group had decided to demerge consumer business of Tata Chemicals and merge it with Tata Consumer Products (Formerly Tata Global Beverages) - 2020

AGILENT TECHNOLOGIES

- Agilent Technologies spun out of Hewlett-Packard, formed from HP's test and-measurement equipment division.
- The shares of Agilent Technologies were then offered to the existing shareholders of HP prior being offered to new investors.



Voluntary

VOLUNTARY CORPORATE ACTION

Buy backs



Right Issue



BUYBACK

- Buyback are announced by the issuer, following a decision by the board of directors
- In buy back the issuing company repurchases the outstanding shares from the market.
- Increase value of my shares by reducing the supply.
- Eliminate threats by shareholders looking for control.
- Also known as a share repurchase
- Share or stock buyback is the practice where companies decide to purchase their own share from their existing shareholders either through a tender offer or through an open market
- **Example:** Tender Offer. A corporation may request shareholders to tender their shares at a predetermined price.
- The shareholder may or may not participate in the tender offer.
- To induce the shareholders of the target company to sell, the acquirer's offer price usually includes a premium over the current market price of the target company's shares

BUYBACK OFFERS EXAMPLES

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Company Name	Record Date	Issue Open	Issue Close	Buyback Type	BuyBack Price (Rs. Per Share)	Current Market Price (Rs. Per Share)	Issue Size - Shares (Rs. Cr.)	Issue Size - Amount (Rs. Cr.)
Search...	Search...	Search...	Search...	Search...	Search...	Search...	Search...	Search...
Wipro Ltd.				Tender Offer	250	195.15	60.00	15,000.00
Cyient Ltd.				Tender Offer	1,125	905.45	0.64	720.00
Rolex Rings Ltd.				Tender Offer	180	141.70	1.00	180.00
Bajaj Auto Ltd.				Tender Offer	12,000	10,200.30	0.47	5,632.80
Kajaria Ceramics Ltd.				Tender Offer	1,380	1,054.55	0.22	296.70
Zydus Lifesciences Ltd	29-May-2026			Tender Offer	1,150	1,018.95	0.96	1,100.00
Cybertech Systems And Software Ltd	29-May-2026			Tender Offer	170	141.00	0.09	14.45
Welspun Living Ltd	22-May-2026			Tender Offer	175	140.30	1.44	252.00
Cms Info Systems Ltd	22-May-2026			Tender Offer	340	305.85	0.49	167.93
Garware Technical Fibres Ltd.	20-May-2026			Tender Offer	680	641.85	0.16	109.99
Onward Technologies Ltd.	18-May-2026			Tender Offer	328	258.30	0.05	18.00

BUYBACK

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Example : Buy Back Open Market

Infosys Ltd Buyback (2022)
Announcement: October 2022
Buyback Size: ₹9,300 crore
Method: Open Market through Stock Exchanges
Buyback Price: Up to ₹1,850 per share
Purpose: Efficient capital allocation, improve EPS

Impact on Shareholding

Before Buyback	After Buy Back
Total Share :420 Cr	Reduced to ~ 410 cr
Promoter Holding : 13.1 %	13.2 % (Slightly increased as public share reduced
EPS (FY22): ₹52.6	EPS improves slightly due to fewer shares

BUYBACK

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Example : Buy Back Tender Offer

TCS Buyback (202X)
Announcement: February 202X
Buyback Size: ₹18,000 crore
Method: Tender Offer
Buyback Price: ₹4,500 per share
Record Date: February 23, 202X

Impact on Shareholding

Before Buyback	After Buy Back
Total Share :366Cr	Reduced to ~ 360 cr
Promoter Holding : 72.3 %	72.4% (Slightly increased as public share reduced
Public Holding : 27.7%	Public Holding 27.6%

RIGHTS ISSUE

- Right Issue are announced by the issuer, following a decision by the board of directors
- The shareholder may or may not participate in the rights issue.
- A security giving stockholders entitlement to purchase new shares issued by the corporation at a predetermined price (normally less than the current market price).
- The entitlement is in proportion to the number of shares already owned.
- Rights are issued only for a short period of time, after which they expire.
- This also known as "**subscription rights**" or "**share purchase rights**."

RIGHTS ISSUE

- Rights can be renounceable and can be sold separately from the share to other investors during the life of the right.
- Non-renounceable rights: Shareholders must either take up the rights or let them lapse.
- Once the rights have lapsed, they no longer exist.
- A right to a share is generally issued on a ratio basis.
- A rights issue is a source of funds for the company issuing it.

RIGHTS ISSUES - EXAMPLES

Company	Rights Ratio	Premium	Announcement	Record Date	Ex-Rights
AVG Logistics AVG	8:33	135.0	18th May, 2026	21st May, 2026	21st May, 2026
EFC (I) EFCIL	8:103	148.0	4th May, 2026	7th May, 2026	7th May, 2026
Shakti Press SHAKTIPR	7:1	10.0	23rd Apr, 2026	29th Apr, 2026	29th Apr, 2026
Innovassynth Technologies (India) INOVSYNTH	3:13	30.0	23rd Apr, 2026	29th Apr, 2026	29th Apr, 2026

RIGHTS ISSUE

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Example : Reliance Industries Rights Issue (2020)

Announced: April 2020
Issue Size: ₹53,124 crore (India's largest ever rights issue)
Ratio: 1 new share for every 15 shares held
Issue Price: ₹1,257 per share (≈14% discount to market price)
Record Date: May 14, 2020
Subscription Period: May 20 – June 3, 2020

Example : **Tata Steel Rights Issue (2021)**
Announced: January 2021
Issue Size: ₹7,000 crore
Ratio: 1 new share for every 15 shares held
Issue Price: ₹510 per share
Record Date: February 19, 2021

RIGHT ISSUE EXAMPLE

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RIGHT ISSUE

SUZLON ENERGY LTD

- The subscription for the rights issue will open on October 11, 2022, and close on October 20, 2022. The company will issue 240 crore equity shares with a face value of Rs 2 per share at Rs 5 per equity.

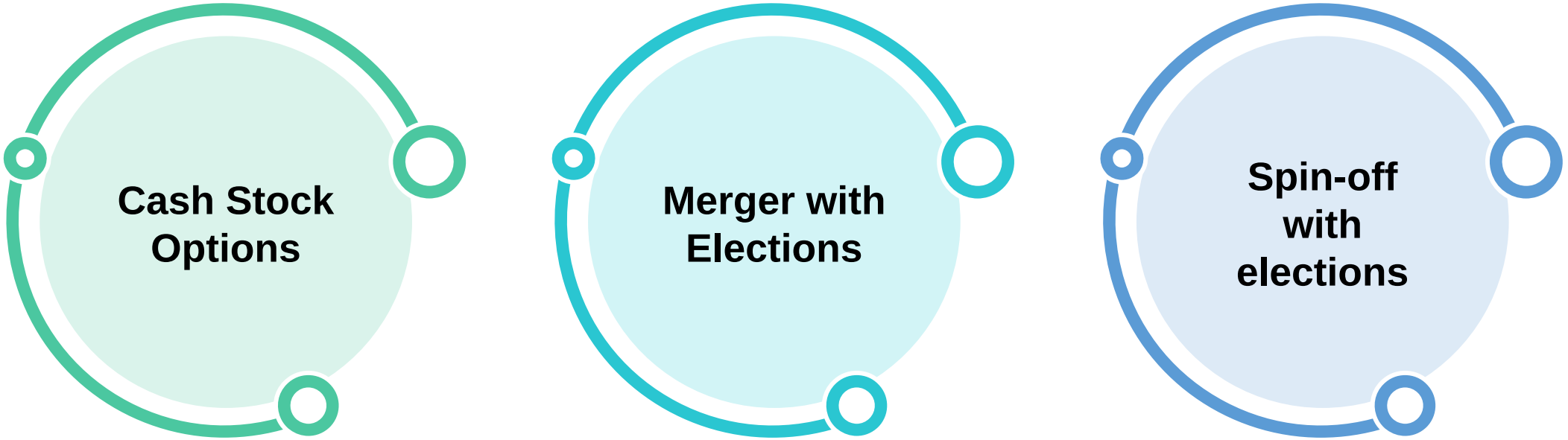
RELIANCE

- Reliance Industries mega Rs. 53,124 crore rights issue is the largest in the world by a non-financial issuer in the last 10 years.

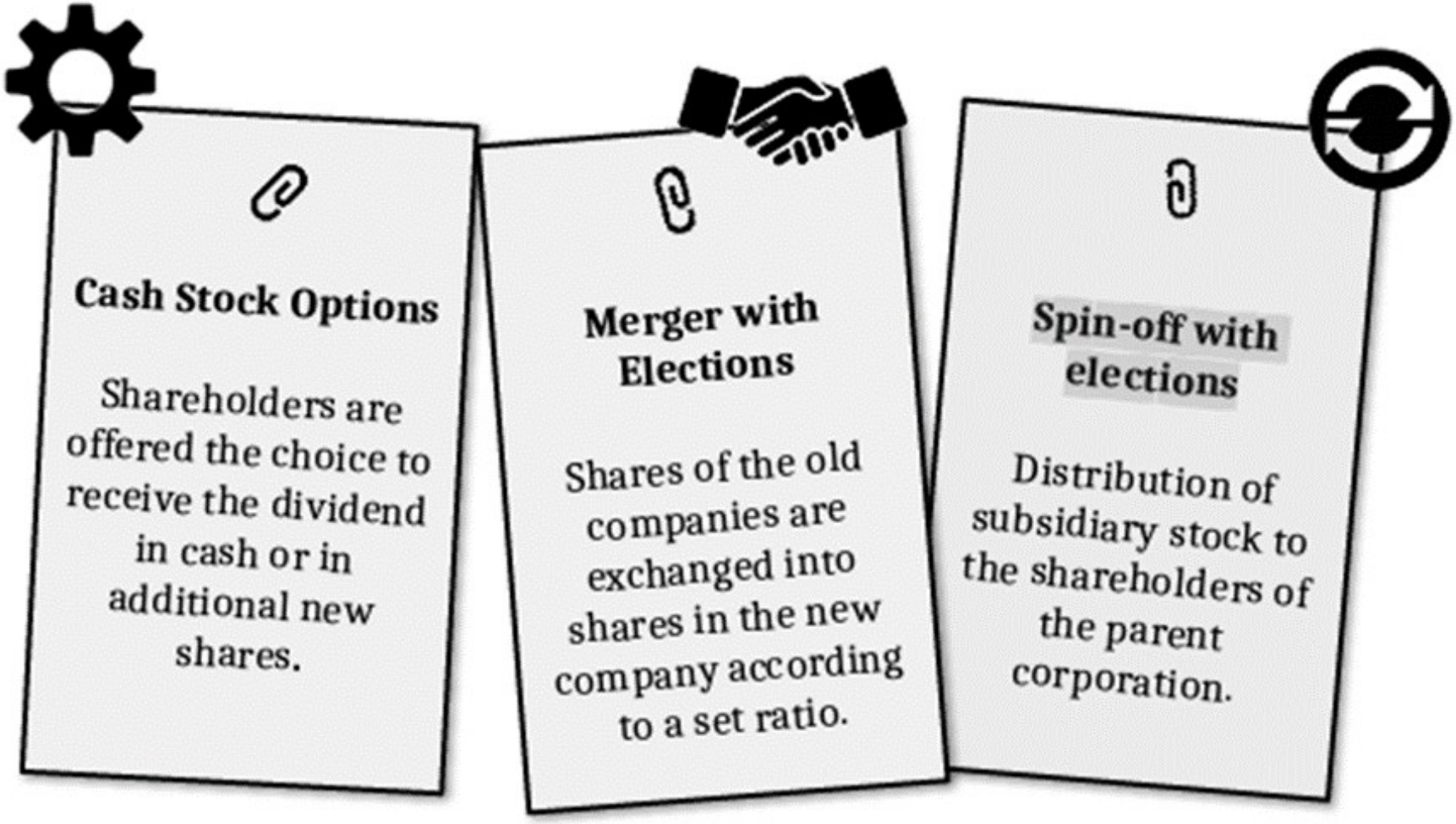


Mandatory With Choice

MANDATORY WITH CHOICE



MANDATORY WITH CHOICE



DATES IN CORPORATE ACTION

ANNOUNCEMENT DATE

An announcement date is the day on which a company announces a corporate event

EX DATE

The first trading day when the security trades without the benefit of the corporate action. (e.g In India , it is record date due to T+1 settlement , In T+2. market , it will be record date-1)

RECORD DATE

The date is associated with the company determining who are the company's shareholders and who are eligible to receive the dividend.

PAYMENT DATE

Known as payment date, it is when the shareholders receive their dividend amount.

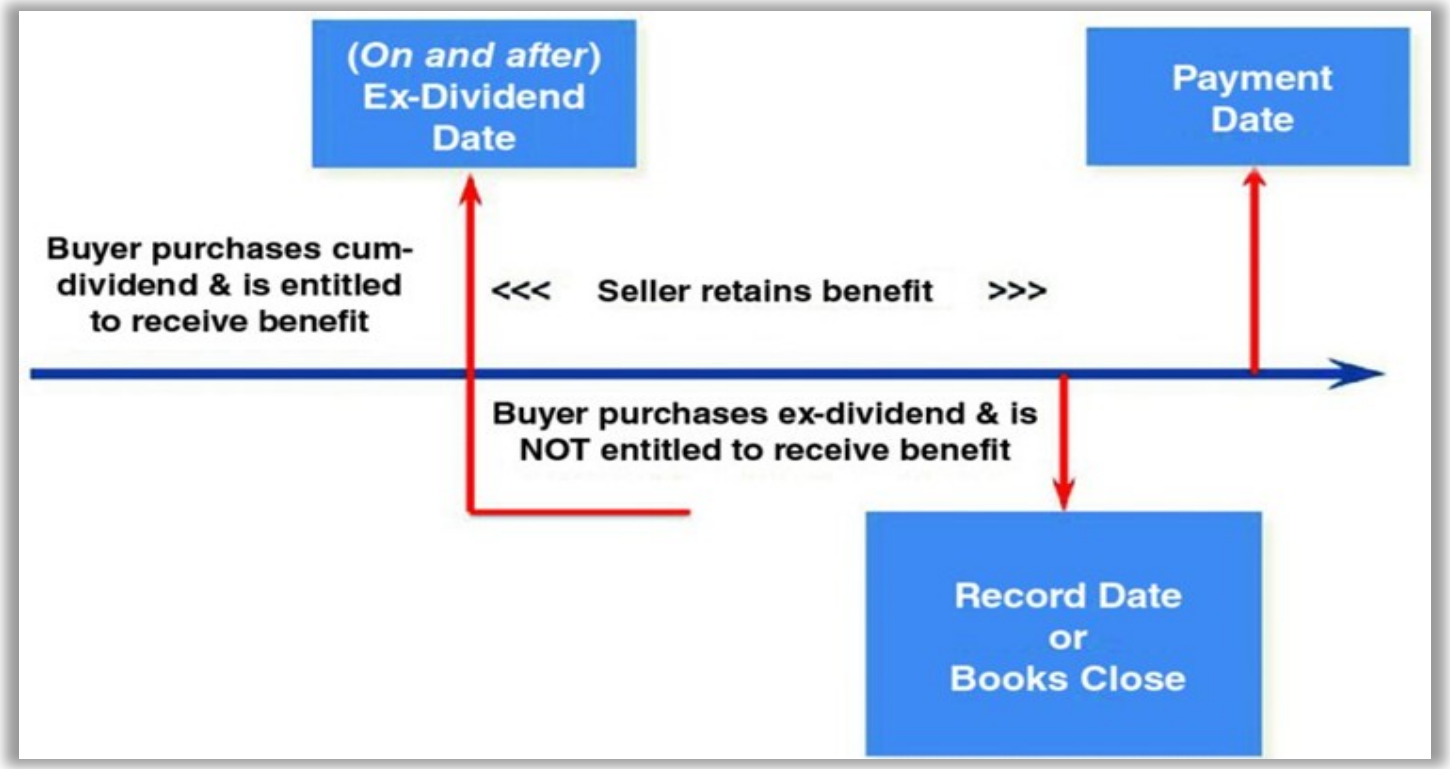
DATES IN CORPORATE ACTION

Cum-entitlement period:

- Where the investor executes a purchase trade and is entitled to receive the benefit (the dividend in this case) and the seller loses this entitlement.

Ex-entitlement period:

- Where the investor executes a purchase trade and is not entitled to receive the benefit and the seller retains the benefit.



TRADE LIFE CYCLE IN CORPORATE ACTION EVENTS

IMARTICUS LEARNING

Communicating the event/event announcement

Once the issuer has decided to initiate a corporate action event, it will have to pass on full event-related information to all market participants and CSDs, who, in turn, will notify their customers (i.e. participant local custodians). The local custodians will notify their customers (i.e. the global custodians), who will notify their customers/fund managers, etc. Every organization must be able to gather the information and verify its accuracy.. It is important that the underlying beneficial owners are notified as quickly and accurately as possible

Reconciliation – ante event

Positions should be reconciled to ensure that the correct entitlements are either received in full or claimed where necessary.

TRADE LIFE CYCLE IN CORPORATE ACTION EVENTS

Event creation

Having notified their clients about the upcoming event, the custodians will create an “event” in their in-house systems. All relevant dates like deadlines, pay dates, ex dates and record dates need to be correctly diarised to ensure that important actions are taken at the right moment and are not forgotten. If necessary, the information published by the agent should be translated before it can be sent to the customers. Any unclear information will need to be investigated by contacting the information provider and/or the issuer's agent

Claims processing

Positions that are entitled to benefit from an event but have been delayed (e.g. failed settlement) should be identified and claims processed

TRADE LIFE CYCLE IN CORPORATE ACTION EVENTS

Instructions processing

Voluntary/optional events are operationally the most risky. The issuer's agent will have a timetable for decisions and appropriate actions. Failure to meet these deadlines will usually result in the customer missing the opportunity to participate in the event. In order to meet the issuer's deadline, every participant in the communication chain will need to allow time to pass the information on and receive any instructions. It may be the case that the beneficial owner has to make a decision several days ahead of the issuer's deadline.

Entitlement calculation

Once information has been received and verified by the custodians, they must first calculate the securities amounts and/or cash that the beneficial owners are entitled to. Secondly, the custodians must advise their customers of the full terms of any event, what the options are and what results can be expected.

TRADE LIFE CYCLE IN CORPORATE ACTION EVENTS

IMARTICUS LEARNING

Payment/delivery

Once the lead agent releases the results of the event (cash, securities or both) the custodians should update their internal books and records under advice to their customers.

Reconciliation – post event

Every event needs to be reconciled after completion to ensure that every aspect of the event has been processed correctly.

Reporting

Reporting on the progress of the event takes place throughout the event.

EXAMPLES - ACTIVITY

Bonus Issue

Infosys - In class activity:

Mr. Raj owns 1,000 shares of Infosys - please calculate the number of shares he will have at every Bonus Issue.

Bonus History (Infosys)

Announcement Date	Bonus Ratio	Record Date	Ex-Bonus Date
13-07-2018	1:1	05-09-2018	04-09-2018
24-04-2015	1:1	30-11--0001	15-06-2015
10-10-2014	1:1	03-12-2014	02-12-2014
14-04-2006	1:1	14-07-2006	13-07-2006
13-04-2004	3:1	02-07-2004	01-07-2004

EXAMPLES - ACTIVITY

BPCL - In class activity:

Mrs. Vijaya owns 20,000 shares of BPCL - please calculate the number of shares she will have at every Bonus Issue.

Bonus History (Bharat Petroleum Corporation)

Announcement Date	Bonus Ratio	Record Date	Ex-Bonus Date
30-05-2017	1:2	15-07-2017	13-07-2017
26-05-2016	1:1	14-07-2016	13-07-2016
25-05-2012	1:1	30-11--0001	13-07-2012
28-09-2000	1:1	05-01-2001	18-12-2000

EXAMPLES - ACTIVITY

Stock Split
IRB Infra

Ms. Karishma owns 50,000 shares of IRB Infra - please calculate the number of shares she will have once the stock split is completed.

Splits History (IRB Infrastructure Developers)

Announcement Date	Old FV	New FV	Ex-Split Date
04-01-2023	10	1	22-02-2023

EXAMPLES - ACTIVITY

Tata Steel

Mr. Ravi owns 1,000 shares of Tata Steel - please calculate the number shares he will have once the stock split is completed.

Splits History (Tata Steel)

Announcement Date	Old FV	New FV	Ex-Split Date
03-05-2022	10	1	28-07-2022
03-01-1996	100	10	-



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THANK YOU !!!

Contact us today!
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